

Procurement Management Business Requirements Document (BRD)

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DOCUMENT CONTROL

1.1. Change Record

Date	Author	Version	Change Reference

1.2. Reviewers

Name	Position

1. Introduction and background

This document outlines the comprehensive requirements for the Procurement Department at **Wujha** within the real estate industry, aiming to establish a structured and efficient procurement function. The focus is on identifying the processes, tools, and systems necessary to streamline operations, reduce costs, improve supplier relationships, and ensure compliance with industry standards.

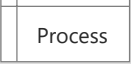
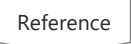
The scope of this document encompasses key procurement activities including supplier management, purchase requisitions, purchase order management, contract management, inventory management, invoice management, and procurement analytics. Each area is critical to building a transparent, scalable, and sustainable procurement framework that supports **Wujha's** broader operational and strategic goals.

Given the dynamic and highly competitive nature of the real estate industry, a robust procurement system is essential for managing multiple projects, maintaining timelines, controlling budgets, and ensuring the quality of goods and services procured. Therefore, this document serves as a foundational guide for aligning **Wujha's** procurement practices with business needs, leveraging technology to enhance efficiency, and driving continuous improvement across all procurement activities.

Document Process Flow Diagram

Process flow diagram supports the analysis of the TO-BE business process by:

- Clearly communicating the current business processes
- Allow analysts to document the current business in a structured way
- Facilitate business requirements mapping to the application

Process Symbol	Definition
 Start	This symbol starts the process.
 Process	This symbol represents a group of steps or activities to perform work (i.e. a process).
 Activity	This symbol represents an activity to perform work defined in detail. This symbol may represent automated or manual activity.
 Decision	This symbol represents a decision . Decisions are typically phased as “yes/no” questions. Look for a “yes” path and a “no” path out of this symbol
 Input / Output	This symbol represents information input / output , such as a report or document. This symbol does not always imply hard copy, as some are verbal.
 Reference	This symbol represents an off page reference. Indicates a cross-reference with another page of the flowchart.
 Database	This represents an input or output symbol of “ Information Entered into System ” or “ Information Received from System ”.
 End	This symbol concludes the process .

2. Business Objectives

Objective Category	Business Objective
Cost Optimization & Budget Control	- Centralized procurement strategy to manage bulk purchasing and negotiate better contracts.
	- Budget forecasting tools that track project costs and compare them with estimates.
	- Optimize vendor selection to ensure cost-effective sourcing of building materials, property maintenance services,
	- Automated budget tracking to prevent over-expenditures
Process Efficiency & Procurement Automation	- Automate PO generation, approvals, and payment processing to eliminate manual bottlenecks.
Supplier & Vendor Management	- Vendor qualification and onboarding system to assess reliability, financial stability.
	- Performance-based evaluations with KPIs for suppliers and contractors to ensure timeliness, and cost-effectiveness.
Quality Control & Standardization	- Standard procurement guidelines for materials, labor, and property services to ensure uniform quality across projects.
Contract & Lease Management	- Centralized repository for all procurement-related legal documents and agreements.
	- Optimize negotiation strategies using historical contract data and supplier performance.
Inventory & Asset Management	- Automated inventory tracking systems for construction materials, tools, and maintenance supplies.
	- Just-in-time (JIT) procurement to reduce waste and overstocking while ensuring project materials are available when needed.
Stakeholder Collaboration & Transparency	- Centralized procurement portal for stakeholders to track progress, enhancing visibility and communication.
	- Communication channels between procurement teams, and stakeholders to ensure smooth operations.
	- Transparency in procurement decision-making by maintaining a clear documentation trail and accessible reports.

3. Scope of Work

#	Scope of Work	Details
1	Procurement Planning & Requisition Management	- Identification of material, service, and equipment needs for construction projects. - PR creation with required specifications, quantities, and estimated costs. - Approval workflows ensuring project compliance and budget alignment.
2	Purchase Order (PO) & Contract Management	- Automated conversion of approved PRs into POs. - PO issuance, tracking, and supplier acknowledgment. - Contract lifecycle management, including renewals and amendments.
3	Goods & Services Delivery Management	- Supplier delivery coordination and receipt verification. - Site inspection for quality assurance and compliance checks. - Handling of discrepancies, returns, or rejected goods.
4	Invoice Processing & Payment Settlement	- Submission of supplier and subcontractor invoices. - Three-way matching process (Invoice, PO, and Goods Receipt). - Approval and processing of payments through integrated financial systems.
5	Procurement Budgeting & Cost Control	- Real-time budget tracking against approved procurement expenses. - Identification of cost-saving opportunities and avoidance of budget overruns. - Forecasting procurement costs based on historical data.
6	Procurement Analytics & Reporting	- Dashboards providing insights into procurement trends, expenditures, and efficiency. - Supplier performance reports and contract compliance tracking. - Key performance indicators (KPIs) monitoring procurement effectiveness.
7	Stakeholders	- Project Managers & Site Engineers: Responsible for procurement requests based on construction needs. - Procurement Team: Manages sourcing, supplier negotiations, and contract agreements. - Finance Department: Oversees budget allocations and cost control. - Legal & Compliance Team: Ensures adherence to contracts, labor laws. - Suppliers & Subcontractors: External parties providing materials and services. - Executives & Management: Require reporting insights for project planning and cost management.

4. Procure-to-Pay Process — Stock Items (Materials & Inventory Items)

Stage	Step	Activity Details	Notes
1. Planning & Needs Identification	1.1	Review project BOQ & plans to identify stock material needs	Linked to WBS & CBS (Work & Cost Breakdown Structures)
	1.2	Check current inventory levels and update the procurement plan	Inventory check to reduce over-purchasing
	1.3	Validate budget availability for materials	Integrated with project budget module
2. Tendering & Supplier Selection (If Required)	2.1	Initiate tendering process if bulk procurement is needed	Even for stock items if volume or value exceeds threshold
	2.2	Evaluate bids & negotiate terms	Price, delivery schedule, payment terms
	2.3	Award contract & onboard supplier	Supplier qualification & compliance check
3. Purchase Requisition & Approval	3.1	Raise PR with specifications, quantities, BoQ reference	Manually
	3.2	PR approval workflow (Engineering, Budget, Procurement)	Role-based approvals (RACI alignment)
4. Purchase Order Management	4.1	Convert approved PR to PO	Auto-conversion in system
	4.2	Issue PO to supplier	Include delivery schedule & terms
	4.3	Supplier acknowledgment of PO	Mandatory before fulfillment
5. Delivery & Inspection	5.1	Delivery of materials to site/store	Coordinated with supplier & site logistics
	5.2	GRN (Goods Receipt Note) creation	Triggers 3-way match flow
6. Invoice Processing & Three-Way Matching	6.1	Supplier submits invoice	Post-delivery confirmation
	6.2	System performs three-way match (PO, GRN, Invoice)	Mandatory before payment approval
	6.3	Resolve discrepancies (if any)	Return/replacement or credit note
7. Payment Settlement	7.1	Process payment approval workflow	Integrated with finance system
	7.2	Execute payment as per terms	Track in budget consumption
8. Reporting & Analytics	8.1	Update procurement dashboard	Real-time stock & budget insights

5. Step by step break-down activities related to Stock Items (Materials & Inventory Items)

Step 1. Planning & Needs Identification process mapped with the assigned roles:

Step	Action	Details	Assigned Role	System/Manual
1.1	Review Project BOQ & Plans to Identify Stock Material Needs			
1.1.1	Obtain the BOQ & project plans	Ensure the latest versions of the BOQ and construction plans are available and up to date.	Project Manager / Site Engineer	Manual Activity
1.1.2	Analyze the project scope	Review requirements listed in the BOQ, including materials, quantities, and types.	Project Manager / Site Engineer	Manual Activity
1.1.3	Identify material needs	Cross-reference the BOQ with project plans to determine needed materials.	Procurement Manager / Project Manager	Manual Activity
1.1.4	Check dependencies	Identify timing for material needs based on the schedule.	Project Manager / Site Engineer	Manual Activity
1.1.5	Update procurement plan	Reflect identified stock materials in the procurement plan.	Procurement Manager / Project Manager	System Activity
1.1.6	Link to WBS & CBS	Align materials with WBS and CBS.	Procurement Manager / Finance Manager	System Activity
1.2	Check Current Inventory Levels			
1.2.1	Access the inventory management system	Log into the inventory system.	Inventory Manager / Procurement Manager	System Activity
1.2.2	Review current stock levels	Check available quantities for required materials.	Inventory Manager / Procurement Manager	System Activity
1.2.3	Compare with material needs	Flag shortages or overages based on comparison.	Inventory Manager / Procurement Manager	Manual Activity
1.2.4	Flag materials for purchase	Mark understocked materials for procurement.	Procurement Manager / Inventory Manager	System Activity
1.3	Validate Budget Availability for Materials			

1.3.1	Access project budget module	Log into financial/project budget system.	Finance Manager / Project Manager	System Activity
1.3.2	Check material budget allocation	Review allocated material budget in CBS/WBS.	Finance Manager / Project Manager	System Activity
1.3.3	Perform budget check	Compare projected material costs with available budget.	Finance Manager / Procurement Manager	System Activity
1.3.4	Identify budget discrepancies	Detect excess costs and propose adjustments.	Finance Manager / Project Manager	Manual Activity
1.3.5	Approve material budget	Obtain formal approval to proceed.	Project Manager / Finance Manager	Manual Activity

Summary of Actions:

1. **Material Identification:** The project team reviews the BOQ and project plans to identify material needs, ensuring alignment with project requirements.
2. **Inventory Check:** The inventory and procurement teams assess current stock levels and compare them with identified material needs, flagging shortages for procurement.
3. **Budget Validation:** The finance and project teams verify the availability of funds for the required materials, checking the material budget allocation and seeking approval for any discrepancies.

Roles and Responsibilities:

1. **Material Identification:**
 - **Project Manager / Site Engineer:** Review the BOQ and project plans to identify material needs.
 - **Procurement Manager:** Cross-reference the materials with the project scope and ensure all needs are accounted for.
2. **Inventory Check:**
 - **Inventory Manager:** Monitor current stock levels and compare them with material needs.
 - **Procurement Manager:** Flag understocked materials for procurement.
3. **Budget Validation:**
 - **Finance Manager:** Verify the availability of the material budget and perform cost checks.
 - **Project Manager:** Ensure budget alignment and seek approval for any discrepancies.

Step 2: Tendering & Supplier Selection (If Required) mapped with the assigned roles:

Step	Action	Details	Assigned Role	System/Manual
2.1 Initiate Tendering Process if Bulk Procurement is Needed				
2.1.1	Identify bulk procurement need	Check if material quantity/value exceeds thresholds.	Procurement Manager	Manual Activity
2.1.2	Prepare tender documentation	Prepare specs, quantities, delivery requirements, terms.	Procurement Manager / Project Manager	Manual Activity
2.1.3	Define tender submission process	Set deadlines, required documents, selection criteria.	Procurement Manager	Manual Activity
2.1.4	Send out invitations to tender	Notify suppliers to submit bids.	Procurement Manager	Manual Activity
2.1.5	Set up a tender evaluation committee	Form the team for evaluation.	Procurement Manager / Project Manager	Manual Activity
2.1.6	Collect tenders and acknowledge receipt	Collect bids and confirm receipt.	Procurement Manager	Manual Activity
2.2 Evaluate Bids & Negotiate Terms				
2.2.1	Review received bids	Check specifications, quantities, schedules.	Procurement Manager / Tender Committee	Manual Activity
2.2.2	Evaluate bids against predefined criteria	Review bids by price, quality, delivery, etc.	Procurement Manager / Tender Committee	Manual Activity
2.2.3	Shortlist the best bidders	Prepare a shortlist based on evaluation.	Procurement Manager / Tender Committee	Manual Activity
2.2.4	Negotiate terms	Finalize price, delivery, and payment terms.	Procurement Manager / Legal Team	Manual Activity
2.2.5	Ensure compliance with procurement policies	Verify legal and regulatory compliance.	Procurement Manager / Legal Team	Manual Activity
2.2.6	Finalize contract terms	Final agreement on contract provisions.	Procurement Manager / Legal Team	Manual Activity

2.3 Award Contract & Onboard Supplier				
2.3.1	Notify successful bidder	Inform the winning supplier.	Procurement Manager	System Activity
2.3.2	Finalize contract agreement	Draft, review, and sign the contract.	Procurement Manager / Legal Team	Manual Activity
2.3.3	Onboard supplier	Complete documentation, compliance, registration.	Procurement Manager / Legal Team	System Activity

Summary of Actions:

1. **Initiate Tendering Process:** The procurement team identifies when bulk procurement is needed, prepares tender documentation, sets submission processes, and invites suppliers to tender.
2. **Evaluate Bids & Negotiate Terms:** The procurement team and tender committee review, evaluate, and shortlist bids, followed by negotiating contract terms with the legal team.
3. **Award Contract & Onboard Supplier:** The procurement team notifies the successful bidder, finalizes the contract, and onboard the supplier with necessary compliance and registration steps.

Roles and Responsibilities:

1. **Initiate Tendering Process:**
 - Procurement Manager: Identify procurement need, prepare tender documentation, define submission process, invite tenders, and set up evaluation committee.
 - Project Manager: Assist in preparing tender documentation and setting up the committee.
2. **Evaluate Bids & Negotiate Terms:**
 - Procurement Manager / Tender Committee: Review and evaluate bids, shortlist the best bidders.
 - Legal Team: Negotiate terms, ensure compliance with procurement policies, and finalize contract provisions.
3. **Award Contract & Onboard Supplier:**
 - Procurement Manager: Notify the winning bidder and onboard the supplier.
 - Legal Team: Finalize the contract agreement and ensure compliance.

Step 3: Step by Step Purchase Requisition & Approval with the assigned roles:

Step	Action	Details	Assigned Role	System/Manual
3.1 Raise PR with Specifications, Quantities, BoQ Reference				
3.1.1	Review project material requirements	Review identified materials and quantities from BoQ.	Project Manager / Site Engineer	Manual Activity
3.1.2	Generate Purchase Requisition (PR) document	Manually generate the PR including specs, quantities, and BoQ reference.	Project Manager / Site Engineer	Manual Activity
3.1.3	Include additional information (e.g., supplier, expected delivery)	Add preferred supplier, delivery location, expected date.	Procurement Manager / Project Manager	Manual Activity
3.1.4	Validate PR against project budget	Ensure PR is within budget and aligns with approved funds.	Procurement Manager / Finance	System Activity
3.2 PR Approval Workflow (Engineering, Budget, Procurement)				
3.2.1	Submit PR	Submit PR for engineering review to ensure technical alignment.	Site Engineer	System Activity
3.2.2	Submit PR for Budget Review	Submit PR to finance/budget team for review.	Project Manager	System Activity
3.2.3	Budget approval	Finance team confirms PR is within available budget.	Finance Team	Manual Activity
3.2.4	Submit PR for Procurement Review	Submit to procurement team after technical/budget approval.	Project Manager	System Activity
3.2.5	Procurement review and final approval	Review for sourcing, vendor, pricing, and finalize.	Procurement Team	Manual Activity
3.2.6	Final approval and notification	PR is finalized and system sends approval notification.	Procurement Team	System Activity

Summary of Actions:

1. **Raise Purchase Requisition (PR):** The project and procurement teams review material requirements, generate the PR document with specifications, and validate it against the project budget.
2. **PR Approval Workflow:** The PR goes through an approval process involving engineering, budget, and procurement teams to ensure alignment, budget compliance, and vendor approval.
- 3.

Roles and Responsibilities:

1. **Raise Purchase Requisition (PR):**
 - Project Manager / Site Engineer: Review material requirements, generate PR document, and add additional information such as supplier details and delivery expectations.
 - Procurement Manager: Add preferred supplier and expected delivery information.
2. **PR Approval Workflow:**
 - Site Engineer: Submit PR for engineering review to ensure technical alignment.
 - Project Manager: Submit PR for budget review and procurement review after technical approval.
 - Finance Team: Review PR for budget compliance and approve the budget.
 - Procurement Team: Review PR for sourcing, vendor selection, and pricing, then provide final approval.

Step 4: Step by Step Purchase Order Management with the assigned roles:

Step	Action	Details	Assigned Role	System/Manual
4.1 Convert Approved PR to PO				
4.1.1	Validate PR approval status	Confirm PR has full approvals and no pending items.	Procurement Manager	Manual Activity
4.1.2	Auto-conversion of PR to Purchase Order (PO)	System auto-converts approved PR into PO with details.	Procurement Manager	System Activity
4.1.3	Review PO details	Ensure auto-generated PO has correct data from PR.	Procurement Manager	Manual Activity
4.1.4	Modify PO if needed	Make necessary changes before sending to supplier.	Procurement Manager	Manual Activity
4.1.5	Ensure compliance with procurement policies	Validate PO aligns with internal procurement rules.	Procurement Manager	Manual Activity
4.2 Issue PO to Supplier				
4.2.1	Finalize PO document	Complete PO with all required information.	Procurement Manager	Manual Activity
4.2.2	Send PO to the supplier	Send PO via email or agreed communication method.	Procurement Manager	Manual Activity
4.2.3	Confirm delivery schedule and terms with supplier	Confirm supplier acknowledgment of all PO terms.	Procurement Manager	Manual Activity
4.2.4	Provide supplier with PO reference number	Share PO number for tracking and records.	Procurement Manager	Manual Activity
4.2.5	Verify supplier's ability to fulfill order	Ensure supplier can meet delivery and specs.	Procurement Manager / Supplier	Manual Activity
4.3 Supplier Acknowledgment of PO				
4.3.1	Request supplier acknowledgment	Request confirmation of PO receipt and acceptance.	Procurement Manager	Manual Activity
4.3.2	Confirm supplier acknowledgment	Ensure formal acknowledgment is received.	Procurement Manager	Manual Activity
4.3.3	Track acknowledgment in the system	Log acknowledgment into the procurement Module.	Procurement Team	System Activity
4.3.4	Verify terms are accepted by supplier	Confirm acceptance of all PO terms and clauses.	Procurement Manager	Manual Activity
4.3.5	Ensure supplier has provided required documentation	Check for necessary compliance documents.	Procurement Manager / Legal Team	Manual Activity

Summary of Actions:

1. **Convert Approved PR to PO:** The procurement manager validates the PR approval, ensures auto-conversion of the PR to a PO, and reviews and modifies the PO as needed for compliance and accuracy.
2. **Issue PO to Supplier:** The procurement manager finalizes the PO document, sends it to the supplier, confirms delivery schedules, and verifies the supplier's ability to meet the order specifications.
3. **Supplier Acknowledgment of PO:** The procurement team tracks the supplier's acknowledgment of the PO, verifies acceptance of terms, and ensures required documentation is provided.

Roles and Responsibilities:

1. **Convert Approved PR to PO:**
 - Procurement Manager: Validate PR approval, review auto-generated PO, make necessary changes, and ensure compliance with procurement policies.
2. **Issue PO to Supplier:**
 - Procurement Manager: Finalize and send PO, confirm delivery schedule and terms with the supplier, and ensure supplier acknowledgment of PO terms.
 - Supplier: Confirm ability to meet delivery and specifications.
3. **Supplier Acknowledgment of PO:**
 - Procurement Manager: Request and confirm supplier acknowledgment, track in the system, and ensure compliance documents are provided.
 - Procurement Team: Log acknowledgment into the procurement module.
 - Legal Team: Ensure required compliance documents are provided by the supplier.

Step 5: Step-by- Step Delivery & Inspection with the assigned roles:

Step	Action	Details	Assigned Role	System/Manual
5.1	Delivery of Materials to Site/Store			
5.1.1	Coordinate delivery schedule with supplier and logistics team	Confirm schedule and ensure logistics are arranged.	Procurement Manager / Logistics Team	Manual Activity
5.1.2	Communicate delivery details to the site team	Share delivery instructions with the site team.	Procurement Manager / Site Logistics Team	Manual Activity
5.1.3	Confirm delivery at site/store	Site confirms receipt of materials.	Site Team / Site Manager	Manual Activity
5.1.4	Notify relevant teams of delivery completion	Notify departments post-delivery to trigger next steps.	Site Team / Procurement Manager	Manual Activity
5.2	Quality & Quantity Inspection			
5.2.1	Inspect delivered materials for quality and quantity	Check materials against PO, BOQ,	Site Team	Manual Activity
5.2.2	Document inspection results	Record inspection results digitally or via checklist.	Site Team	Manual Activity
5.2.3	Report discrepancies to procurement and supplier	Report any issues and trigger resolution actions.	Site Team / Procurement Team	Manual Activity
5.2.4	Ensure materials meet compliance standards	Check for industry certifications and regulatory compliance.	Site Team / Compliance Officer	Manual Activity
5.3	GRN (Goods Receipt Note) Creation			
5.3.1	Create Goods Receipt Note (GRN) after inspection	Generate GRN in the system post-verification.	Site Team / Warehouse Team	System Activity
5.3.2	Log the GRN in the system	Input GRN data into procurement system.	Site Team / Procurement Team	System Activity
5.3.3	Update GRN with any discrepancies	Adjust GRN if issues were identified.	Site Team / Procurement Team	System Activity
5.3.4	Notify procurement and finance teams of GRN creation	Notify teams to initiate invoice matching.	Site Team / Procurement Team	Manual Activity
5.3.5	Trigger 3-way match for invoice processing	System matches PO, GRN, and Invoice.	Procurement Team / Finance Team	System Activity
5.3.6	Verify GRN against supplier delivery documentation	Match supplier documents with GRN.	Site Team / Procurement Team	Manual Activity
5.3.7	Ensure supplier compliance with delivery terms	Confirm adherence to all delivery terms and raise issues if needed.	Procurement Manager / Supplier	Manual Activity

Summary of Actions:

1. Delivery Coordination: Coordination between procurement, logistics, and site teams ensures timely delivery, monitoring, and tracking of materials.
2. Quality and Quantity Inspection: The site team verifies that the materials match the specifications of the PO, checking for quantity, quality, and compliance with regulatory standards.
3. GRN Creation: Once materials are received and inspected, the site team generates a GRN to officially acknowledge receipt and begin the 3-way matching process for payment.

Roles and Responsibilities:

- Procurement Manager: Oversees the entire process, ensuring coordination between the supplier and site team, resolving issues, and ensuring compliance with procurement policies.
- Site Team: Directly involved in receiving, inspecting, and verifying the materials; responsible for creating the GRN.
- Warehouse Team: Supports the creation and logging of the GRN into the system, ensuring records are accurate.
- Quality Control Officer: Ensures that the delivered materials meet the necessary quality standards.
- Finance Team: Engages in the 3-way matching process and ensures payments are aligned with approved PO and GRN details.

Step 6: Invoice Processing & Three-Way Matching with the assigned roles:

Step	Action Description	Detailed Activities	Responsible Role(s)	Classification
6.1.	Supplier Submits Invoice			
6.1.1	Prepare and finalize invoice	Supplier prepares invoice based on the PO, GRN, and contract terms, ensuring inclusion of PO number, description, quantities, unit rate, and taxes	Supplier / Subcontractor	Manual Activity
6.1.2	Submit invoice to the system	Upload invoice through SWAY	Supplier / Procurement Admin	Manual Activity
6.1.3	Initial invoice review	Procurement/Finance team checks for completeness, correctness, and supporting documents (delivery note, tax invoice, etc.)	Procurement Officer / Accounts Payable	Manual Activity
6.2.	System Performs Three-Way Match			
6.2.1	Trigger auto-match	System matches three documents: PO, GRN, and Invoice – comparing item codes, quantities, and unit prices	Finance Module	System Activity
6.2.2	Detect mismatch or variance	Variances (quantity, value, or description) between the three documents are flagged by system	AP	System Activity
6.2.3	Forward matched invoices for approval	If match is successful, invoice forwarded automatically for financial approval	Finance Manager	System Activity
6.3.	Resolve Discrepancies (If Any)			
6.3.1	System notifies stakeholders	Alerts sent to Procurement, Site Team, and Supplier in case of mismatch	Notification / Workflow	System Activity
6.3.2	Investigate discrepancy	Procurement verifies supporting documents, liaises with Site Team for actual delivery details and GRN remarks	Procurement Officer / Site Team	Manual Activity
6.3.3	Communicate with supplier	Supplier asked to revise invoice or send credit note if error is confirmed	Procurement Officer / Supplier	Manual Activity
6.3.4	Update records and upload resolution	Discrepancy resolution logged in SWAY; attachments such as credit note or updated invoice included	Procurement Officer / AP	System Activity
6.3.5	Re-run 3-way match after fix	Once corrections are made, system rechecks PO-GRN-Invoice alignment	System / AP	System Activity
6.3.6	Final approval for payment	Finance Manager/Controller provides final sign-off for payment release	Finance Manager / Controller	Manual Activity

Summary of Actions:

1. Supplier Submits Invoice: The supplier prepares and submits an invoice, which is reviewed by the procurement and finance teams for completeness.
2. System Performs Three-Way Match: The system automatically matches the PO, GRN, and invoice. Any mismatches are flagged, and matched invoices are forwarded for approval.
3. Resolve Discrepancies (If Any): Discrepancies between the documents are flagged, investigated, and communicated with the supplier for correction. Once resolved, the system rechecks and sends the invoice for final payment approval

Roles and Responsibilities:

1. **Supplier Submits Invoice:**
 - Supplier / Subcontractor: Prepare and finalize the invoice with necessary details and submit it through the system or vendor portal.
 - Procurement Admin: Upload the invoice into the system.
 - Procurement Officer / Accounts Payable: Review the invoice for completeness and correctness.

2. **System Performs Three-Way Match:**
 - Finance Module: Perform the automatic match of PO, GRN, and invoice.
 - Accounts Payable (AP): Handle any flagged variances.
 - Finance Manager: Forward matched invoices for final approval.
3. **Resolve Discrepancies (If Any):**
 - Procurement Officer / Site Team: Investigate the discrepancy by verifying documents and liaising with the site team.
 - Procurement Officer / Supplier: Communicate with the supplier to resolve the discrepancy.
 - Finance Manager / Controller: Provide final approval for payment release.

Step 7: Payment Settlement with the assigned roles:

Sub-Step	Action Title	Detailed Description	Responsible Role(s)	Classification
7.1.1	Trigger Payment Workflow	System automatically triggers payment request after 3-way match (Invoice, PO, GRN) and approval	AP	System Activity
7.1.2	Verify Invoice and Documents	Finance verifies invoice, PO, GRN, tax info, delivery confirmation, and compliance documents	Finance Officer / AP	Manual Activity
7.1.3	Check Budget Availability	Cross-check budget against project allocations to ensure sufficient funds	Finance Officer / Project Controls	Manual Activity
7.1.4	Approval as per DoA	Payment routed to authorized approvers based on defined approval hierarchy	Finance Manager / CFO / Dept Head	Manual Activity

Summary of Actions:

1. **Trigger Payment Workflow:** The system automatically triggers the payment request after the three-way match and approval are complete.
2. **Verify Invoice and Documents:** The finance team verifies the invoice and all related documents for accuracy and compliance.
3. **Check Budget Availability:** Finance cross-checks the project budget to ensure there are sufficient funds for payment.
4. **Approval as per DoA:** The payment request is routed to the authorized approvers for approval based on the defined delegation of authority (DoA).

Roles and Responsibilities:

1. **Trigger Payment Workflow:**
 - **AP:** Automatically trigger the payment request after the successful three-way match.
2. **Verify Invoice and Documents:**
 - **Finance Officer / AP:** Verify the accuracy of the invoice, PO, GRN, tax information, and compliance documents.
3. **Check Budget Availability:**
 - **Finance Officer / Project Controls:** Cross-check the budget against project allocations to ensure sufficient funds for payment.
4. **Approval as per DoA:**
 - **Finance Manager / CFO / Dept Head:** Review and approve the payment request according to the established delegation of authority.

Step 8: Reporting & Analytics with the assigned roles:

Sub - Step	Action Title	Detailed Description	Responsible Role(s)	Clarifying Notes
8.1.1	Update Procurement Dashboard	Automatically update real-time dashboards with data on PRs, POs, invoices, and payments	Procurement Analyst	Dashboards help track end-to-end procurement visibility
8.1.2	Refresh Budget and Spend Reports	Refresh reports comparing actual procurement spend vs. project budget allocations	Finance Analyst / Project Controls	Used to control overspending and forecast upcoming needs
8.1.3	Visualize Purchase Cycle KPIs	Provide visual KPIs such as PR to PO cycle time, average delivery delay, and invoice clearance time	Procurement & Project Controls	Supports data-driven procurement improvement initiatives

8.2.1	Track Supplier Performance	Monitor supplier reliability, delivery timelines, quality scores, and issue history	Procurement Analyst	Used for supplier evaluation and future qualification decisions
8.2.2	Generate Contract Compliance Reports	Generate reports highlighting supplier adherence to contract terms and pricing	Procurement Compliance /	Helps with performance management and audit compliance
8.3.1	Enable Stakeholder Reporting	Provide tailored procurement insights and reports to executives, finance, and project teams	Procurement Manager / Reporting Officer	Improves transparency and decision-making across departments

6. Procure-to-Pay Process — Non-Stock Items / Services

Stage	Step	Activity Details	Notes
1. Planning & Needs Identification	1.1	Identify service needs (e.g., Departments)	Based on approved budget
	1.2	Validate project budget availability	Allocation to specific cost codes
2. Supplier Selection	2.1	Prepare nonstock or service requirement	Clear SoW for services or rental terms
	2.2	Award contract & onboard vendor	Ensure insurance, legal docs, compliance
3. Purchase Requisition & Approval	3.1	Create PR for services/asset rental	Specify service duration, location, assets needed
	3.2	PR approval workflow (Technical, Budget, Procurement)	Multi-level approval (depends on contract value)
4. Purchase Order & Contract Management	4.1	Convert PR into Service PO or Contract	Include milestones, payment terms
	4.2	Issue PO/Contract to vendor	Acceptance required before mobilization
	5.2	Performance verification & site confirmation	Service completion report or timesheet
6. Invoice Processing & Three-Way Matching	6.1	Vendor submits invoice	Include timesheets, service reports
	6.2	Perform three-way match (PO, SRN, Invoice)	Mandatory for approval
	6.3	Resolve discrepancies (if any)	Correction, vendor claims handling
7. Payment Settlement	7.1	Approval workflow for payment	Finance and project team sign-off
	7.2	Execute payment as per contract terms	Payment milestones if applicable
8. Reporting & Analytics	8.1	Update service procurement dashboard	Project-level cost visibility
	8.2	Vendor performance tracking	Timeliness, quality, compliance

7. Step by step break-down activities related to Non-Stock Items / Services

Step 1. Planning & Needs Identification process:

Step	Activity	Description	Responsibility	Classification
1.1	Identify Service & Non-Stock Item Needs (e.g., Subcontractors, Rentals, Laptops)			
1.1.1	Review departmental requirements	Identify the non-stock items, services, and rentals required across various departments	Department Heads / Managers	Manual Activity
1.1.2	Identify asset rental needs (specific to projects)	Determine asset rental needs specifically related to projects	Project Manager / Equipment Coordinator	Manual Activity
1.1.3	Consolidate service, non-stock item, and rental requirements	Merge identified needs from all departments	Procurement Coordinator	Manual Activity
1.2	Validate Budget Availability			
1.2.1	Identify relevant cost codes	Map identified items and services to specific cost codes	Finance / Cost Controller	Manual Activity
1.2.2	Check budget allocation	Ensure budget is sufficient for identified items and services	Finance / Cost Controller	Manual Activity
1.2.3	Highlight budget shortfalls	Escalate if budget is insufficient	Cost Controller	Manual Activity
1.2.4	Approve budget reservation	Obtain approval to reserve budget	Department Head / Finance	Manual Activity
1.2.5	Update procurement forecast	Include approved budget in procurement tracking system	Procurement Coordinator	System Activity

Summary of Actions:

1. **Review Departmental Needs:** Each department reviews and identifies their required services, non-stock items, and rentals.
2. **Identify Project-Based Asset Rentals:** Project-specific rental needs (e.g., equipment, temporary structures) are determined separately.
3. **Consolidate Requirements:** All identified needs are merged into a centralized requirement register for procurement planning.
4. **Validate Budget Availability:** Finance and cost control teams map requirements to cost codes and ensure sufficient budget is available.
5. **Approve Budget Reservation:** Relevant authorities approve budget reservation to proceed with procurement.
6. **Update Procurement Forecast:** Procurement updates the forecast and tracking system based on approved requirements.

Roles and Responsibilities:

- **Department Heads / Managers:** Responsible for identifying and submitting departmental requirements.
- **Project Manager / Equipment Coordinator:** Handle the identification of project-specific rental needs.
- **Procurement Coordinator:** Compiles all submitted requirements and maintains the consolidated register and forecast.
- **Finance / Cost Controller:** Maps requirements to budget codes, checks allocations, and raises any shortfall alerts.
- **Department Head / Finance:** Provides final approval for budget reservation and authorizes procurement continuation.

Step 2: Tendering & Supplier Selection applicable across the whole company divisions/ Business units:

Step	Activity	Description	Responsibility	Classification
2.1	Prepare Scope of Work (SoW) or Service Requirement			
2.1.1	Define service or rental requirements	Prepare a detailed scope of work (SoW) or specify rental terms	Department Head / Procurement	Manual Activity
2.1.2	Specify terms and conditions	Include delivery timelines, quality, warranty, return policy, etc.	Procurement Team	Manual Activity
2.2	Float Tender or Request for Proposal (RFP)			
2.2.1	Prepare and issue tender documents	Draft and distribute RFP/tender documents for high-value or complex items	Procurement Coordinator	Manual Activity
2.2.2	Float tender/RFP to selected vendors	Send RFP/tender to shortlist vendors and define submission deadlines	Procurement Coordinator	Manual Activity

2.2.3	Respond to vendor queries	Provide clarifications on RFP or tender to interested vendors	Procurement Coordinator	Manual Activity
2.3	Technical and Commercial Evaluation			
2.3.1	Evaluate technical compliance	Review technical proposals against requirements	Technical Team / Procurement	Manual Activity
2.3.2	Evaluate commercial offers	Assess pricing, terms, and total cost of proposals	Finance / Procurement	Manual Activity
2.3.3	Compare evaluations	Consolidate technical and commercial scores for decision-making	Procurement Committee	Manual Activity
2.4	Award Contract & Onboard Vendor			
2.4.1	Select vendor	Recommend and finalize the vendor based on evaluations	Procurement Manager	Manual Activity
2.4.2	Negotiate contract terms	Finalize pricing, delivery, SLAs, and legal clauses	Procurement / Legal Team	Manual Activity
2.4.3	Verify legal and compliance documentation	Check all mandatory vendor documents before awarding	Legal / Compliance Team	Manual Activity
2.4.4	Onboard vendor	Complete system entry and documentation for vendor onboarding	Procurement / Vendor Management	Manual Activity

Summary of Actions:

1. **Define Scope and Terms:** Departments and Procurement define the Scope of Work (SoW) or rental requirements and outline key commercial/operational terms.
2. **Float RFP/Tender:** Procurement prepares RFP/tender documents, issues them to vendors, and manages incoming queries and clarifications.
3. **Evaluate Proposals:** Technical and financial evaluations are carried out separately, followed by a consolidated comparative analysis.
4. **Award and Onboard:** Finalize vendor selection, negotiate and sign contracts, validate compliance documents, and onboard the vendor into the system.

Roles and Responsibilities:

- **Department Head / Procurement:** Define the specific service or rental needs to be addressed in the SoW.
- **Procurement Team / Coordinator:** Prepare and float RFPs or tenders, manage vendor communication, and coordinate the procurement process.
- **Technical Team:** Conduct technical assessments to ensure proposals meet service or performance criteria.
- **Finance / Procurement:** Evaluate commercial proposals and ensure pricing is fair, compliant with budget, and aligned with organizational needs.
- **Procurement Committee:** Review and consolidate technical and commercial evaluations to support informed vendor selection.
- **Procurement Manager:** Finalize vendor selection based on evaluation outcomes and internal approvals.
- **Procurement / Legal Team:** Lead negotiation and finalization of contract terms, SLAs, and any legal clauses required.
- **Legal / Compliance Team:** Review and verify the vendor's legal and compliance documentation before contract award.
- **Procurement / Vendor Management:** Ensure successful onboarding by entering vendor information into systems and confirming all documentation is in place.

Step 3: Purchase Requisition & Approval, incorporating multi-level approval as per the contract value to be defined in DoA:

Step	Activity	Description	Responsibility	Classification
3.1	Create Purchase Requisition (PR) for Services/Asset Rental			
3.1.1	Gather service or rental requirements	Collect details about the service or asset rental (e.g., duration, location, specifications)	Department Head / Procurement	Manual Activity
3.1.2	Specify assets, duration, and location	Ensure PR includes specific items (e.g., laptops, rental equipment) with details on duration and location for delivery	Procurement Team	Manual Activity
3.1.3	Create PR in the system	Input the PR into the procurement system, ensuring it's tagged with relevant cost codes and account details	Procurement Coordinator	System Activity
3.2	PR Approval Workflow (Technical, Budget, Procurement)			

3.2.1	Technical approval	Have the technical team review the PR to ensure it meets all specifications and project needs	Technical Team / Department Head	Manual Activity
3.2.2	Budget approval	Ensure the PR is reviewed and approved by finance to confirm there is sufficient budget	Finance Department	Manual Activity
3.2.3	Procurement approval	Review PR for compliance with procurement policies, vendor list, and internal requirements	Procurement Manager	Manual Activity
3.2.4	Multi-level approval	Ensure necessary approvals (e.g., Project Manager, Executive, Legal) are obtained based on contract value	Project Manager / Executive Management / Legal (if needed)	Manual Activity
3.2.5	Final approval and PR release	Finalize and release the PR for processing once all approvals are obtained	Procurement Coordinator	System Activity

Summary of Actions:

1. **Create PR** : Procurement Department collect service/rental requirements, ensure complete specification (item, duration, location), and enter the Purchase Requisition (PR) in the procurement module with correct coding (*if applicable*)
2. **Approval Workflow**: The PR undergoes a multi-stage approval process involving:
 - **Technical Validation** to ensure alignment with specifications.
 - **Budget Review** to verify fund availability.
 - **Procurement Compliance Check** against internal sourcing policies.
 - **Multi-Level Approvals** based on value and sensitivity.
 - **Final Release** for downstream procurement processing.

Roles and Responsibilities:

- **Department Head / Procurement**: Identify and provide details of required services or asset rentals.
- **Procurement Team / Coordinator**: Ensure accurate entry of PR details into the system and align with budget/cost codes.
- **Technical Team / Department Head**: Review PR for technical completeness, especially for project-specific services or equipment.
- **Finance Department**: Confirm availability of funds before approval.
- **Procurement Manager**: Validate PR against procurement policies, sourcing strategy, and vendor engagement plans.
- **Project Manager / Executive Management / Legal (if needed)**: Provide higher-level approval when PR exceeds predefined thresholds or includes legal sensitivities.
- **Procurement Coordinator**: Finalize and release the PR into the procurement system once all approvals are completed.

Step 4: Purchase Order & Contract Management:

Step	Activity	Description	Responsibility	Classification
4.1	Convert PR into Service PO or Contract			
4.1.1	Review approved PR	Examine the Purchase Requisition (PR) to ensure it includes all relevant details (e.g., services, rental, milestones)	Procurement Coordinator	Manual Activity
4.1.2	Create Service PO or Contract	Convert the PR into a Service PO or Contract, including detailed terms such as milestones, payment schedule, and scope of work	Procurement / Legal Team	System Activity
4.1.3	Include key contract terms	Ensure that the contract/PO includes essential elements such as milestones, deliverables, payment terms, and any special conditions	Procurement / Legal Team	Manual Activity
4.1.4	Internal review of PO/Contract	Conduct an internal review (with relevant departments like Finance, Project, Legal) of the drafted PO/Contract	Procurement Manager	Manual Activity
4.2	Issue PO/Contract to Vendor			
4.2.1	Obtain internal approvals	Ensure that all internal approvals (finance, project manager, legal) are obtained before issuing the PO/Contract	Procurement / Legal Team	Manual Activity
4.2.2	Issue PO/Contract to vendor	Send the PO/Contract to the vendor for review and signature	Procurement Coordinator	System Activity
4.2.3	Notify stakeholders of PO/Contract issuance	Inform relevant departments (Finance, Project, Legal) about the issuance and acceptance of the PO/Contract	Procurement Coordinator	System Activity
4.3	Contract Lifecycle Management			
4.3.1	Monitor contract performance	Track the vendor's performance according to the contract terms, including milestone deliveries and payment schedules	Project Manager / Procurement	Manual Activity
4.3.2	Manage contract amendments	If required, initiate amendments or addendums to the contract, ensuring compliance with legal and financial guidelines	Legal / Procurement	Manual Activity
4.3.3	Track contract extensions	If the contract term needs to be extended, track the extension process and update the PO/Contract accordingly	Procurement / Legal Team	Manual Activity
4.3.4	Ensure compliance with contract terms	Continuously review compliance with all contractual obligations throughout the contract term	Procurement / Legal Team	Manual Activity
4.3.5	Close contract upon completion	Once all terms are met, ensure that the contract is closed and the final payments are processed	Procurement / Finance	Manual Activity

Summary of Actions:

- Convert PR into Service PO or Contract:** Review the approved Purchase Requisition (PR) for completeness and then create a Service Purchase Order (PO) or Contract, including key terms such as milestones, scope, payment schedules, etc.
- Issue PO/Contract to Vendor:** Obtain internal approvals for the drafted PO/Contract, issue it to the vendor for acceptance, and notify all relevant departments once the vendor has signed.
- Contract Lifecycle Management:** Monitor vendor performance, manage amendments, handle contract extensions, ensure compliance, and close the contract once all terms are met and final payments processed.

Roles and Responsibilities:

- Procurement Coordinator:** Review PR and ensure all details are correct / Issue PO/Contract to vendor after obtaining approvals./ Notify stakeholders about PO/Contract issuance.
- Procurement / Legal Team:** Convert PR into Service PO or Contract/ Draft contract terms and ensure alignment with requirements /Obtain necessary legal approvals and handle contract amendments.
- Procurement Manager:** Conduct internal review of drafted PO/Contract/Oversee contract lifecycle and ensure compliance.
- Project Manager:** Monitor contract performance and ensure timely milestone delivery.
- Finance Department:** Support in contract closure and final payment processing.

Step 5: Service Delivery & Performance Validation to trigger invoicing and payment:

Step	Activity	Description	Responsibility	Classification
5.1	Performance Verification & Site Confirmation			

5.1.1	Monitor service progress	Track the service delivery or equipment usage to ensure it meets agreed-upon milestones or performance indicators	Project Manager / Site Supervisor	Manual Activity
5.1.2	Confirm service completion	Verify that the service has been fully completed, meeting all terms outlined in the contract	Project Manager / Vendor	Manual Activity
5.2	Create Service Receipt Note (SRN)			
5.2.1	Create SRN based on completed service	Once service delivery is confirmed, create a Service Receipt Note (SRN) to validate that the service has been received in accordance with the terms	Procurement / Project Manager	System Activity
5.2.2	Review SRN for accuracy	Ensure that the SRN includes all relevant details, such as service delivery dates, quantities, and any deviations from the original scope	Procurement / Project Manager	Manual Activity
5.2.3	Approve SRN	Have the SRN reviewed and approved by authorized personnel to confirm the accuracy of the service delivery and performance	Department Head / Finance	Manual Activity
5.2.4	Submit SRN for invoicing	Once the SRN is approved, submit it to the finance department to initiate the invoicing and payment process	Procurement / Finance	System Activity
5.3.5	Initiate payment process	Based on the SRN and vendor invoice, process the payment to the vendor according to the agreed terms	Finance / Accounts Payable	System Activity

Summary of Actions:

1. **Performance Verification & Site Confirmation**
 - Monitor progress and ensure milestones or performance indicators are being met.
 - Confirm the completion of the service.
2. **Create Service Receipt Note (SRN)**
 - Create and review the SRN based on the completed service.
 - Approve the SRN for accuracy and completeness.
 - Submit the SRN to finance for invoicing.
 - Initiate the payment process to the vendor.

Roles and Responsibilities:

1. **Procurement / Project Manager:**
 - Confirm service start date and coordinate delivery.
 - Review and approve the SRN for accuracy.
 - Submit SRN for invoicing and payment initiation.
2. **Vendor:**
 - Deliver equipment or commence service as per the contract.
 - Ensure that the equipment is ready for operation and service delivery is completed.
3. **Site Supervisor / Project Manager:**
 - Perform readiness checks and monitor service progress.
 - Conduct site inspections and verify service or equipment performance.
 - Collect performance data and confirm service completion.
4. **Technical Team:**
 - Assist in inspecting the site and verifying that the service or equipment meets contract specifications.
5. **Department Head / Finance:**
 - Approve the SRN to confirm service accuracy and approve payment.
6. **Finance / Accounts Payable:**
 - Process the payment to the vendor once SRN and vendor invoice are approved.

Step 6: Step-by-Step Invoice Processing & Three-Way Matching:

Step	Activity	Description	Responsibility	Classification
6.1	Vendor Submits Invoice			

6.1.1	Receive invoice from vendor	Vendor submits the invoice for services or asset rentals, along with necessary supporting documents (e.g., timesheets, service reports)	Accounts Payable / Procurement	Manual Activity
6.1.2	Review supporting documents	Ensure that the invoice includes all required documentation (e.g., completed timesheets, service reports, delivery confirmations) to substantiate the charges	Accounts Payable / Procurement	Manual Activity
6.1.3	Confirm invoice accuracy	Compare the vendor invoice details with the Purchase Order (PO) and Service Receipt Note (SRN) to ensure accuracy before initiating the matching process	Accounts Payable	Manual Activity
6.2	Perform Three-Way Match (PO, SRN, Invoice)			
6.2.1	Match invoice with PO	Verify that the invoice amount aligns with the agreed terms in the PO, including quantities, prices, and payment terms	Accounts Payable	System Activity
6.2.2	Match invoice with SRN	Cross-check that the service or items listed on the invoice have been received, as per the SRN, confirming the actual delivery	Accounts Payable	System Activity
6.2.3	Ensure compliance with contract terms	Validate that the invoice is in accordance with the contract, including payment terms, milestones, and any applicable service-level agreements	Procurement / Finance	Manual Activity
6.2.4	Confirm match for approval	Once the three-way match (PO, SRN, and Invoice) is completed and accurate, prepare the invoice for approval	Accounts Payable / Finance	System Activity
6.3	Resolve Discrepancies (If Any)			
6.3.1	Identify discrepancies	If discrepancies are found between the PO, SRN, and invoice (e.g., price discrepancies, service delivery issues), identify the cause	Accounts Payable / Procurement	Manual Activity
6.3.2	Investigate vendor claims	If the vendor submits claims or explanations for discrepancies (e.g., price adjustments, missed items), verify and assess their validity	Accounts Payable / Procurement / Vendor	Manual Activity
6.3.3	Correct discrepancies	If discrepancies are valid, adjust the invoice or the PO/SRN as necessary (e.g., issuing a credit note, re-negotiating terms)	Accounts Payable / Procurement	Manual Activity
6.3.4	Revalidate invoice and initiate approval	Once discrepancies are resolved, reperform the three-way match to ensure the corrected invoice aligns with the PO and SRN	Accounts Payable	System Activity
6.3.5	Obtain final approval for payment	Submit the finalized invoice for approval from the relevant stakeholders (e.g., Finance, Department Head) to trigger payment processing	Finance / Procurement	Manual Activity

Summary of Actions:

1. **Vendor Submits Invoice:**
 - Receive the invoice from the vendor along with supporting documents (timesheets, service reports).
 - Review the invoice and verify that all supporting documents are included and correct.
 - Confirm invoice accuracy by comparing the details with the PO and SRN.
2. **Perform Three-Way Match (PO, SRN, Invoice):**
 - Match the invoice with the PO to ensure alignment on quantities, prices, and terms.
 - Cross-check the invoice with the SRN to confirm that services or items were delivered.
 - Validate that the invoice complies with contract terms, including payment terms and milestones.
 - Prepare the invoice for approval once the three-way match is complete.
3. **Resolve Discrepancies (If Any):**
 - Identify and investigate any discrepancies (price issues, service delivery problems).
 - Investigate vendor claims or explanations for discrepancies and resolve them.
 - Correct the invoice, PO, or SRN as necessary (e.g., issuing a credit note).
 - Revalidate the corrected invoice and initiate the approval process.
 - Obtain final approval for payment processing.

Roles and Responsibilities:

1. **Accounts Payable / Procurement:**
 - Receive and review vendor invoices with supporting documents.
 - Confirm invoice accuracy and compare it with the PO and SRN.
 - Perform the three-way match and prepare the invoice for approval.
 - Identify and resolve discrepancies in case of mismatches.

- Revalidate and reapprove corrected invoices for payment.
- 2. **Procurement / Finance:**
 - Ensure the invoice is in compliance with the contract, including milestones and payment terms.
 - Approve the final invoice for payment after the discrepancies are resolved.
- 3. **Vendor:**
 - Submit the invoice along with supporting documents.
 - Provide explanations or claims for any discrepancies, if applicable.
- 4. **Finance / Procurement:**
 - Submit the finalized invoice for payment approval from the relevant stakeholders.
 - Initiate payment processing once the invoice is approved.

8. Automation for Procure-to-Pay Process

• Automating Purchase Requisition (PR) Creation and Approval Workflow

Automated Step	Automation Details	System Integration
PR Creation	Automate the creation of Purchase Requisitions based on predefined triggers such as inventory levels, project requirements,	N/A
PR Approval Workflow	Automatically route PRs through an approval hierarchy. Approvals can be based on budget, project need, or role-specific workflows.	Workflow automation tools (Flixos)
PR Notification	Send automated email or notification alerts to approvers when a PR is submitted, waiting for their review.	Email system integration (e.g., Outlook, Gmail)
PR Rejection and Feedback	If PR is rejected, automatically notify the requestor with feedback for revisions.	Email notifications

• Automating Purchase Order (PO) Creation and Approval

Automated Step	Automation Details	System Integration
PO Creation	Automatically generate POs based on approved PRs, with details pulled from the PR system, including vendor information, quantity, and price.	N/A
PO Approval Workflow	Route POs to relevant stakeholders for approval, based on predefined budget or contract conditions.	Workflow automation
PO Notification	Automated notifications to approvers, and once the PO is approved, send confirmation to the vendor.	Email system, , Notification
PO Modification	If any changes are required, automatically update the PO and notify relevant stakeholders.	Workflow automation

• Automating Goods Receipt and Inspection Process:

Automated Step	Automation Details	System Integration
Goods Receipt Notification	Automatically generate a Goods Receipt Notification (GRN) when the items are delivered, based on the PO and delivery schedule.	N/A
GRN Validation	Automatically match the GRN with the corresponding PO and update inventory.	Inventory

• Automating Three-Way Match Verification:

Automated Step	Automation Details	System Integration
Three-Way Match Trigger	When an invoice is received, automatically trigger a Three-Way Match to check the PO, GRN, and invoice for consistency.	N/A
Three-Way Match Report Generation	Generate a report detailing the match status, highlighting discrepancies for review and approval.	Reporting tools

• Automating Invoice Approval and Payment Process

Automated Step	Automation Details	System Integration
Invoice Receipt Automation	Automatically log and capture supplier invoices when they arrive, either through email, EDI, or manual upload.	N/A
Invoice Validation	Automatically validate the invoice by checking against the PO and GRN for correct amounts and terms.	N/A
Invoice Approval Workflow	Route the invoice for approval based on predefined workflows, ensuring that the correct stakeholders are involved.	Workflow automation tools
Payment Execution	Automatically execute payment to suppliers after approval and based on agreed payment terms (e.g., bank transfer, cheque).	N/A

9. Procurement Module Attributes

Module	Attribute	Description	Data Type	Validation Rules	Use Case
Procurement Request (PR)	PR Number	Unique identifier for each procurement request.	String	Auto-generated, unique	Used to track and reference procurement requests.
	Request Date	Date when the procurement request is created.	Date	Auto-generated on PR creation	Reflects the date of initiation of the procurement process.
	Requested By	Employee initiating the procurement request.	String (User)	Validated against employee database	Identifies the originator of the request.
	Department	Department that requires the goods/services.	String (List)	Predefined list of departments	Identifies the department initiating the request.
	Item Type	Type of item (Stock or Non-stock) requested.	String (Enum)	Stock/Non-stock	Classifies the item type for appropriate processing.
	Quantity	Quantity of items requested.	Integer	Numeric, greater than 0	Represents the number of units requested.
	Estimated Cost	Estimated cost of requested goods/services.	Decimal	Must be a positive number	Represents the financial impact of the request.
	Vendor Suggestion	Preferred vendor for the item (if applicable).	String	Validated against Vendor list	Suggests a vendor based on historical data, if applicable.
Approval Workflow	Approver Role	Role responsible for approving the procurement request.	String (List)	Predefined role-based approvals	Defines the role responsible for the approval step.
	Approval Status	Current status of the procurement request approval process.	String (Enum)	Pending/Approved/Rejected	Tracks the status of the procurement request in the approval process.
	Approval Date	Date when the procurement request was approved or rejected.	Date	Auto-generated based on approval action	Tracks when the request was approved or rejected.
Purchase Order (PO)	PO Number	Unique identifier for each purchase order.	String	Auto-generated, unique	Tracks and references purchase orders.
	PR Reference	Reference to the original procurement request.	String	Validated against PR list	Links the purchase order to the originating request.
	Supplier Name	Name of the supplier/vendor selected for the order.	String	Validated against Supplier list	Identifies the vendor supplying the requested goods/services.
	Delivery Date	Expected date of delivery for the purchased goods/services.	Date	Must be later than current date	Tracks the expected delivery date of the items.
	Total Cost	Total cost of the purchase order.	Decimal	Numeric, greater than 0	Represents the total financial commitment for the order.
Goods Receipt (GRN)	GRN Number	Unique identifier for Goods Receipt Note.	String	Auto-generated, unique	Tracks goods receipt in the system.
	PO Reference	Reference to the associated Purchase Order.	String	Validated against PO list	Links the goods receipt to the corresponding purchase order.

	Item Received	Item(s) that were actually received as per the purchase order.	String	Validated against PO item list	Identifies the items received from the vendor.
	Quantity Received	Quantity of the items received.	Integer	Must match the quantity in the PO	Reflects the number of units actually received.
	Inspection Status	Status of the quality check (Pass/Fail).	String (Enum)	Pass/Fail	Tracks the result of the quality inspection process.
	GRN Date	Date when the goods receipt was logged.	Date	Auto-generated on GRN creation	Tracks the date the goods were received.
Invoice Processing	Invoice Number	Unique identifier for the supplier's invoice.	String	Unique	Used to track and reference supplier invoices.
	PO Reference	Reference to the associated purchase order.	String	Validated against PO list	Links the invoice to the corresponding purchase order.
	Invoice Date	Date the invoice was issued.	Date	Date cannot be in the future	Represents the date when the invoice was issued.
	Amount	Total amount on the invoice.	Decimal	Numeric, greater than 0	Represents the total value of the invoice.
	Three-Way Match Status	Status of the match between PO, GRN, and Invoice (Matched/Unmatched).	String (Enum)	Validated with PO and GRN	Tracks if the invoice, PO, and GRN match for validation.
	Payment Due Date	Date by which the supplier must be paid.	Date	Must be later than the current date	Tracks when the payment is due.
Payment Processing	Payment Reference Number	Unique identifier for each payment transaction.	String	Auto-generated	Tracks and references each payment made to suppliers.
	Invoice Reference	Reference to the related invoice being paid.	String	Validated against Invoice list	Links the payment to the invoice being settled.
	Payment Amount	Amount being paid in the current payment transaction.	Decimal	Numeric, must match or be less than the invoice amount	Represents the amount being paid to the supplier.
	Payment Status	Status of the payment (Pending/Completed/Failed).	String (Enum)	Pending/Completed/Failed	Tracks the current status of the payment.

10. RACI Matrix for Procurement Process

Procurement Activity	Requestor	Department Head	Procurement Team	Finance Team	Vendor	Project Manager	Asset Manager	Accounting Team	Approving Manager
Initiate Procurement Request	R	A	C	I	I	I	I	I	I
Classify Item (Stock/Non-stock)	C	I	R	I	I	I	I	I	I
Identify Supplier(s)	C	I	R	I	A	I	I	I	I
Estimate Cost	C	I	A	I	C	I	I	I	I
Prepare Purchase Order	I	I	R	C	A	I	I	I	A
PO Approval	I	R	A	C	I	I	I	I	A
Issue Purchase Order	I	I	R	I	I	I	I	I	I
Goods Receipt (GRN)	I	I	C	I	I	R	I	A	I
Inspect Received Items	C	I	R	I	I	A	C	I	I
Invoice Verification	I	I	I	R	A	I	I	C	I
Payment Processing	I	I	I	R	A	I	I	R	I
Supplier Performance Evaluation	I	I	R	I	A	C	I	I	I
Asset Allocation (for Rentals)	I	I	I	I	C	A	R	I	I
Reporting & Analytics	I	I	C	R	I	A	I	I	I

Key:

- **R (Responsible):** The person or group responsible for executing the task.
- **A (Accountable):** The person or group ultimately accountable for ensuring the task is completed.
- **C (Consulted):** Those who provide input or advice on the task.
- **I (Informed):** Those who need to be kept informed of the task's progress or outcome.

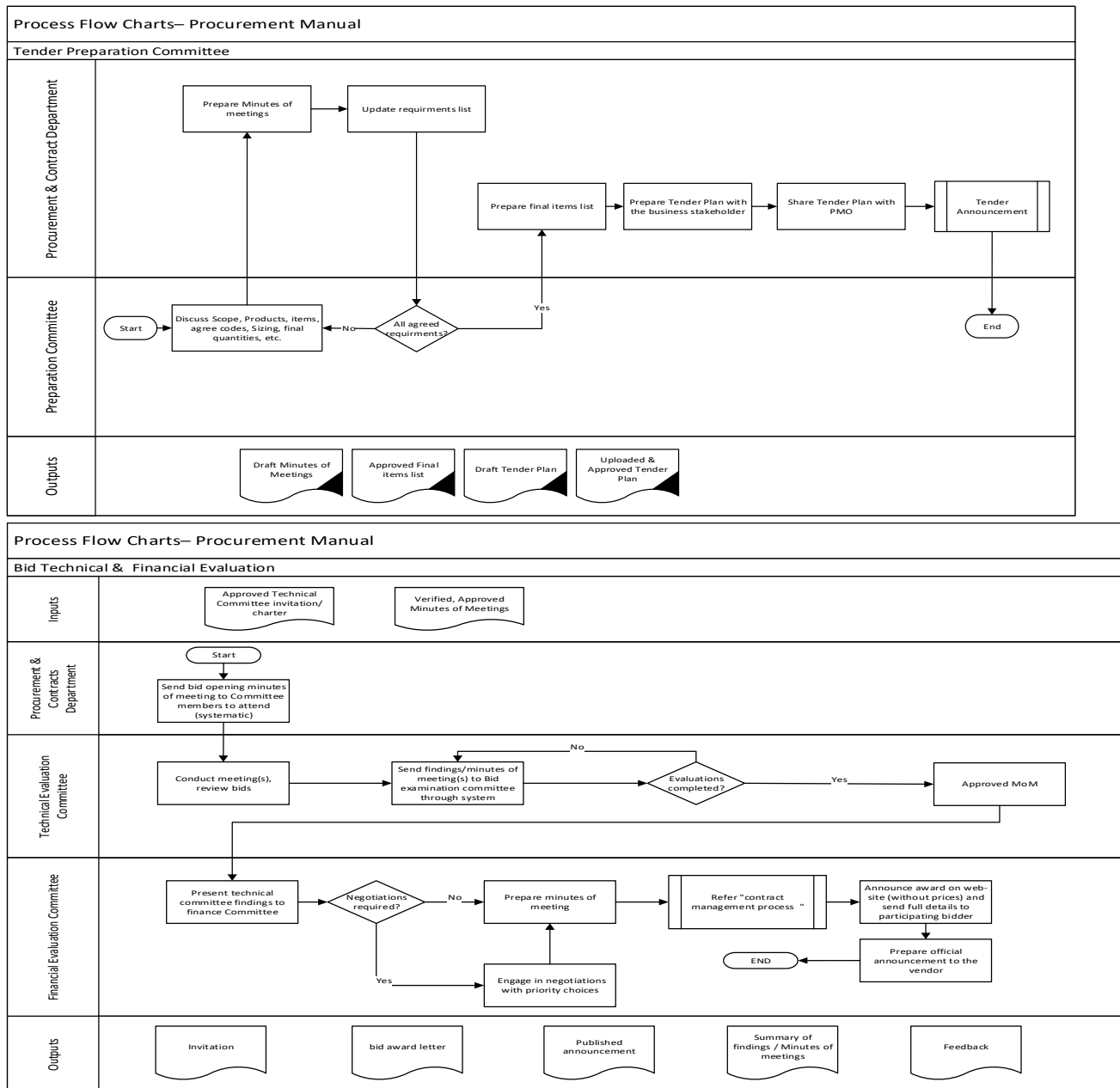
Explanation of Key Activities:

1. **Initiate Procurement Request:** The requestor identifies the need and initiates the process.
2. **Classify Item (Stock/Non-stock):** Procurement classifies the item based on its stock or non-stock nature.
3. **Identify Supplier(s):** Procurement is responsible for identifying suppliers or vendors, with consultation from the department and finance for costs.
4. **Estimate Cost:** Procurement estimates the cost, ensuring alignment with budget and department requirements.
5. **Prepare Purchase Order:** Procurement prepares the PO, after which approval is sought from the department head and the approving manager.
6. **PO Approval:** The PO goes through a formal approval process to confirm vendor selection and pricing.
7. **Issue Purchase Order:** The finalized PO is sent to the supplier.
8. **Goods Receipt (GRN):** Upon delivery, the goods are received and inspected.
9. **Inspect Received Items:** After receiving the goods, they are inspected for quality and conformity.
10. **Invoice Verification:** Finance verifies the invoice with the received goods and the PO for discrepancies.
11. **Payment Processing:** Finance ensures payment to the supplier is processed after confirming invoice verification.
12. **Supplier Performance Evaluation:** Regular evaluation of supplier performance, including quality and delivery.
13. **Asset Allocation (for Rentals):** If assets are rented, the asset manager allocates them to the project and tracks their usage.
14. **Reporting & Analytics:** Finance and procurement teams generate reports based on spend, supplier performance, and process efficiency.

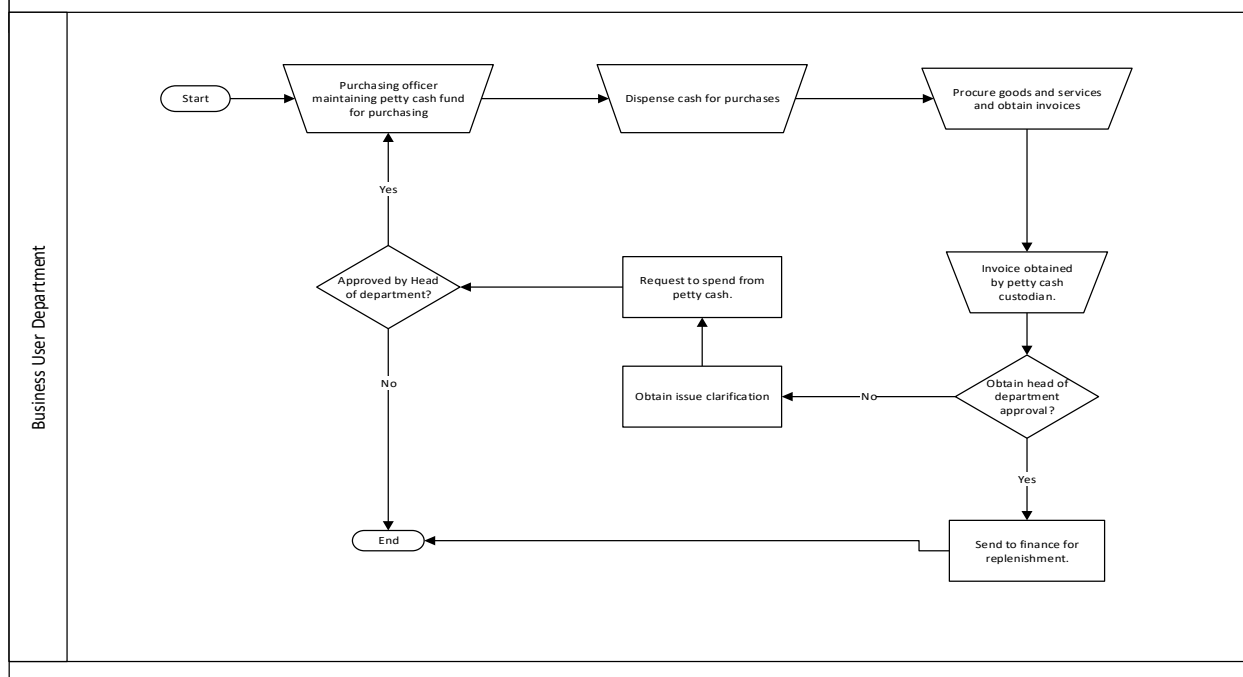
11. High-Level KPIs for Procure-to-Pay (Stock & Non-Stock Items)

KPI Name	Description	Measurement Formula	Frequency	Applicability
Procurement Cycle Time	Measures total time from PR creation to delivery of goods/services	$\text{Delivery/Completion Date} - \text{PR Creation Date}$	Monthly	Stock & Non-Stock
On-Time Delivery/Service Rate	% of deliveries/services completed on or before committed date	$(\text{No. of On-Time Deliveries} / \text{Total Deliveries}) \times 100$	Monthly	Stock & Non-Stock
Vendor Compliance Rate	Measures vendor adherence to contract/SLA terms (insurance, legal, quality)	$(\text{No. of Compliant Vendors} / \text{Total Vendors}) \times 100$	Quarterly	Stock & Non-Stock
Invoice Processing Time	Time from invoice submission to payment execution	$\text{Payment Date} - \text{Invoice Submission Date}$	Monthly	Stock & Non-Stock
Three-Way Match Success Rate	% of invoices that match PO and Delivery Note/SRN without discrepancies	$(\text{Successful Matches} / \text{Total Invoices}) \times 100$	Monthly	Stock & Non-Stock
Cost Variance vs. Budget	Tracks actual procurement cost vs. allocated budget	$(\text{Actual Cost} - \text{Budgeted Cost}) / \text{Budgeted Cost} \times 100$	Monthly	All Departments / Projects (for rentals only)
Vendor Performance Score	Score based on timeliness, quality, responsiveness (scored from SRN, feedback)	Weighted score (e.g., Delivery 40%, Quality 30%, Support 30%)	Quarterly	Stock & Non-Stock
Pending Approval Rate	% of PRs/POs/invoices pending approval beyond internal SLA	$(\text{No. of Delayed Approvals} / \text{Total Pending Items}) \times 100$	Weekly	Stock & Non-Stock
Stock Item Delivery Accuracy	% of stock items received correctly against PO (quantity, quality, spec)	$(\text{Accurate Deliveries} / \text{Total Stock Deliveries}) \times 100$	Monthly	Stock Only
Non-Stock Service Quality Rating	Average user or project team rating of delivered services	Avg. rating from feedback forms (1–5 scale)	Monthly	Non-Stock Only
Inventory Turnover Rate	Measures how quickly inventory is used or sold	$\text{Cost of Goods Sold} / \text{Average Inventory}$	Quarterly	Stock Only
Dashboard Update Timeliness	% of dashboards updated within defined reporting cycle	$(\text{No. of Timely Updates} / \text{Total Updates}) \times 100$	Monthly	Stock & Non-Stock
Top Vendor Spend Contribution	% of procurement spend concentrated among top 5 vendors	$(\text{Spend by Top 5 Vendors} / \text{Total Spend}) \times 100$	Quarterly	Stock & Non-Stock

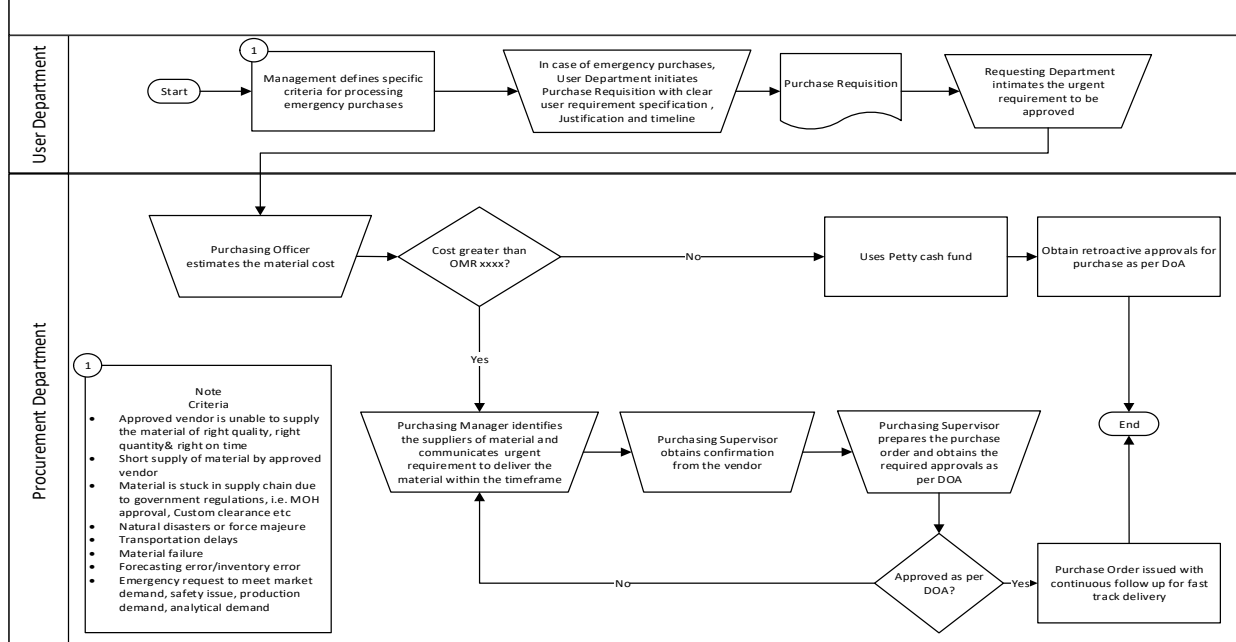
12. High level flow charts:



Process Flow Charts – Procurement Manual
Petty Cash Purchase

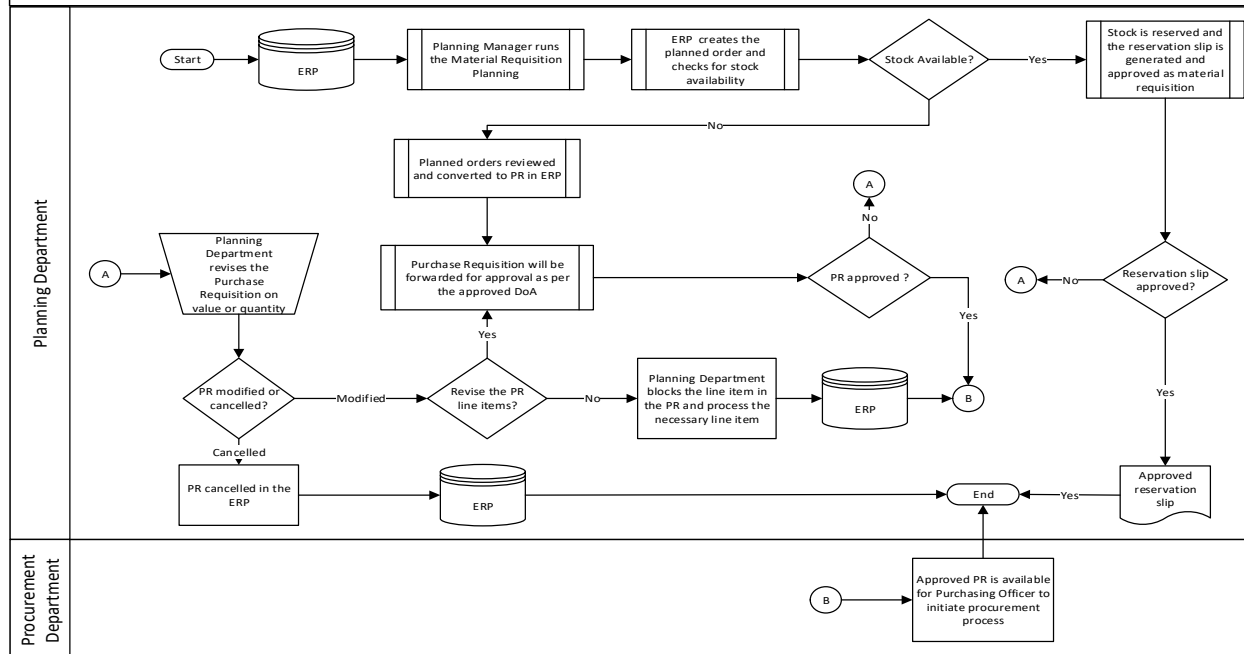


Process Flow Charts– Procurement Manual
Emergency Purchase



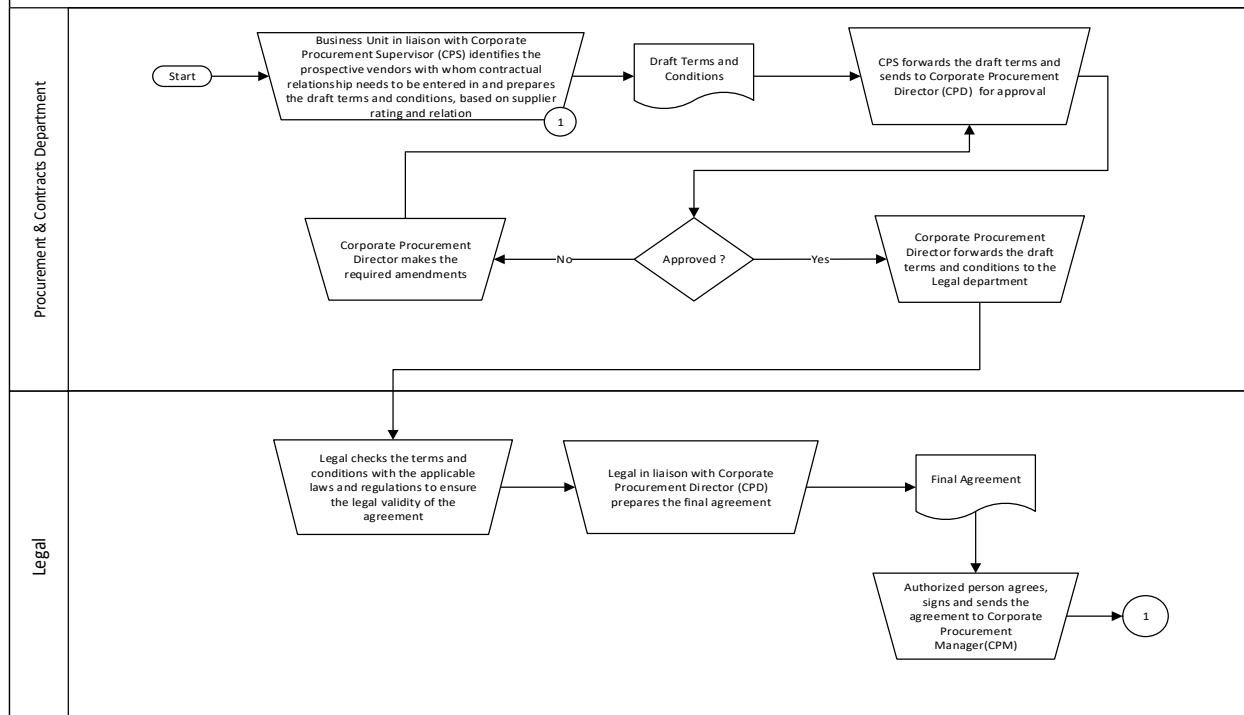
Process Flow Charts– Procurement Manual

Purchase Requisition (PR) through MRP run- Automatic (Stock raw)



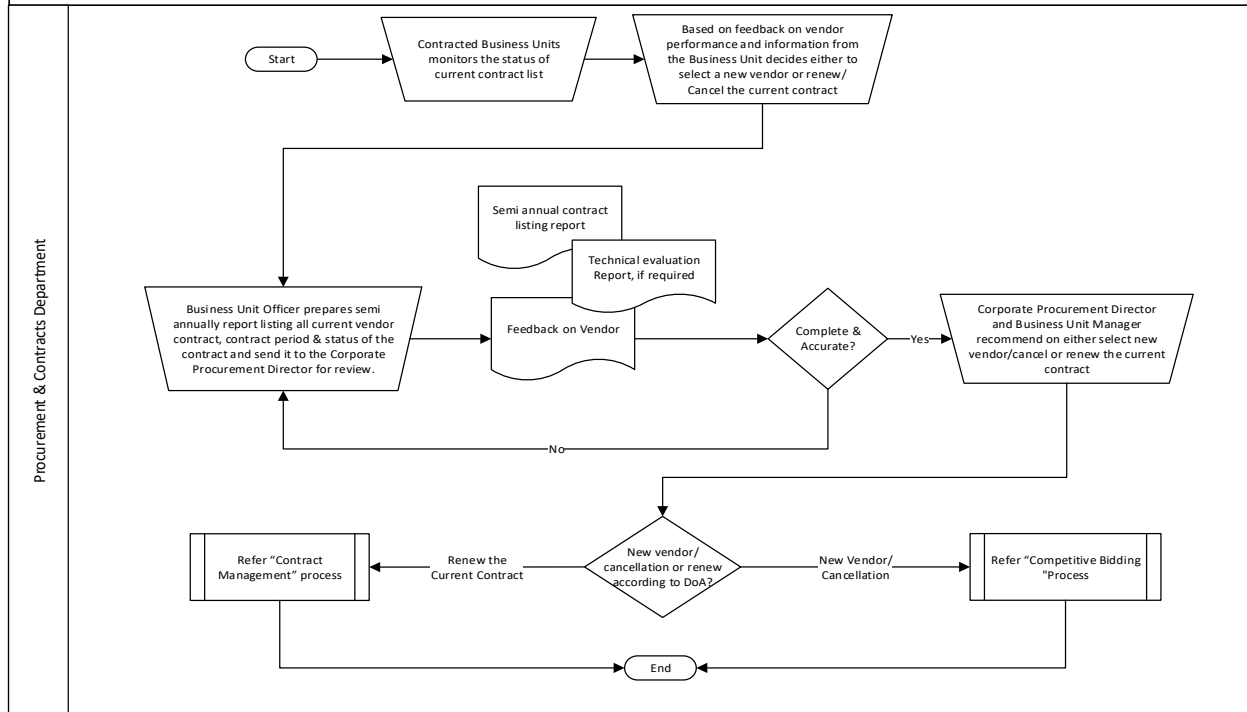
Process Flow Charts– Procurement Manual

Contract Management-Wujha to Vendor



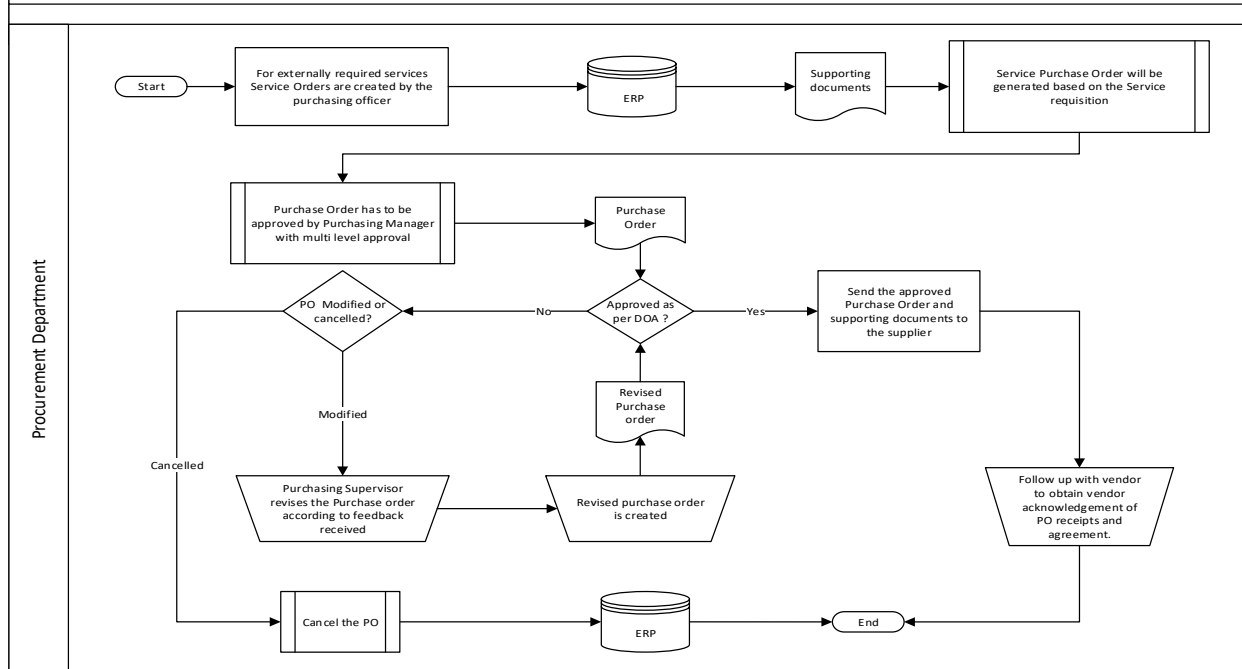
Process Flow Charts– Procurement Manual

Contract Management-Renewal/Cancellation of Contracts



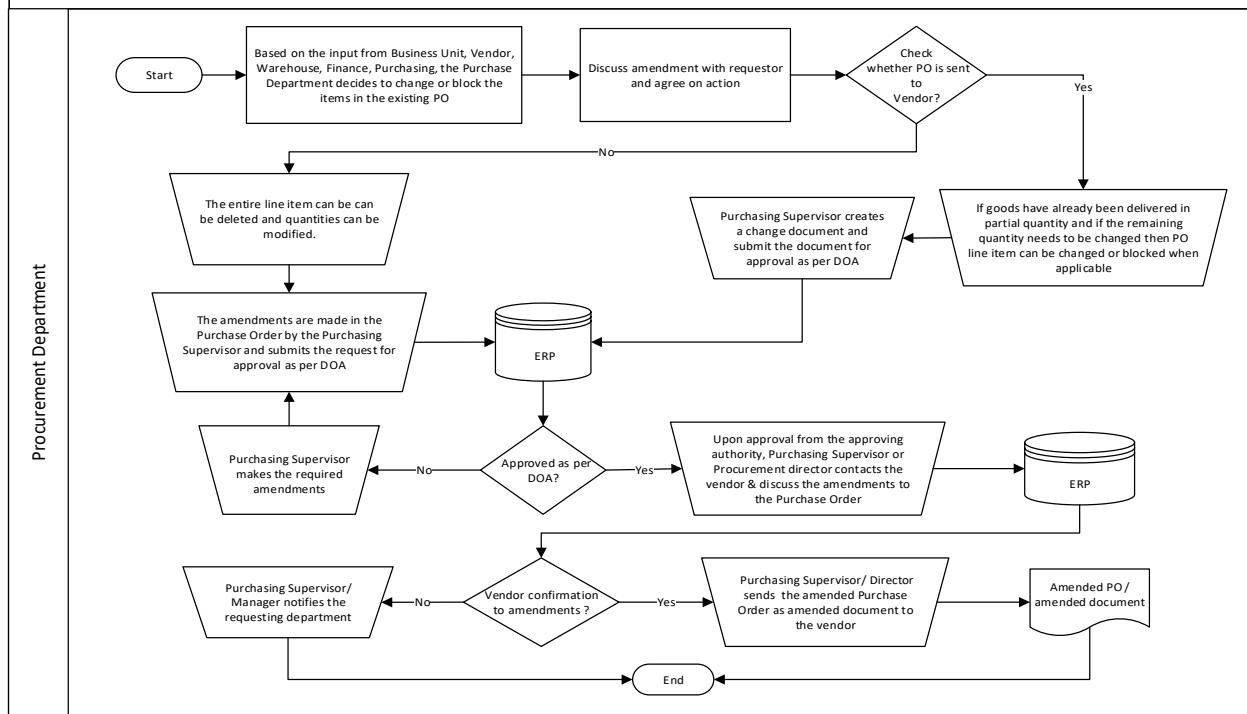
Process Flow Charts – Procurement Manual

Purchase Order - Services



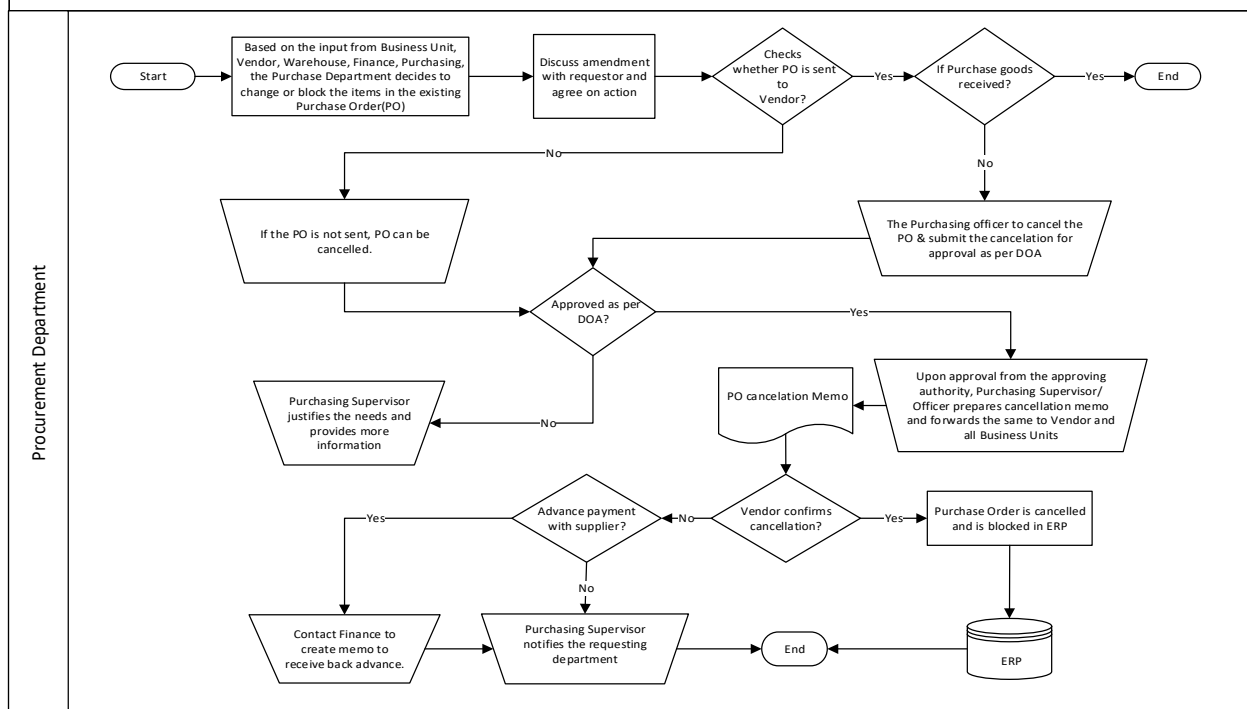
Process Flow Charts– Procurement Manual

Amendment to Existing Purchase Order



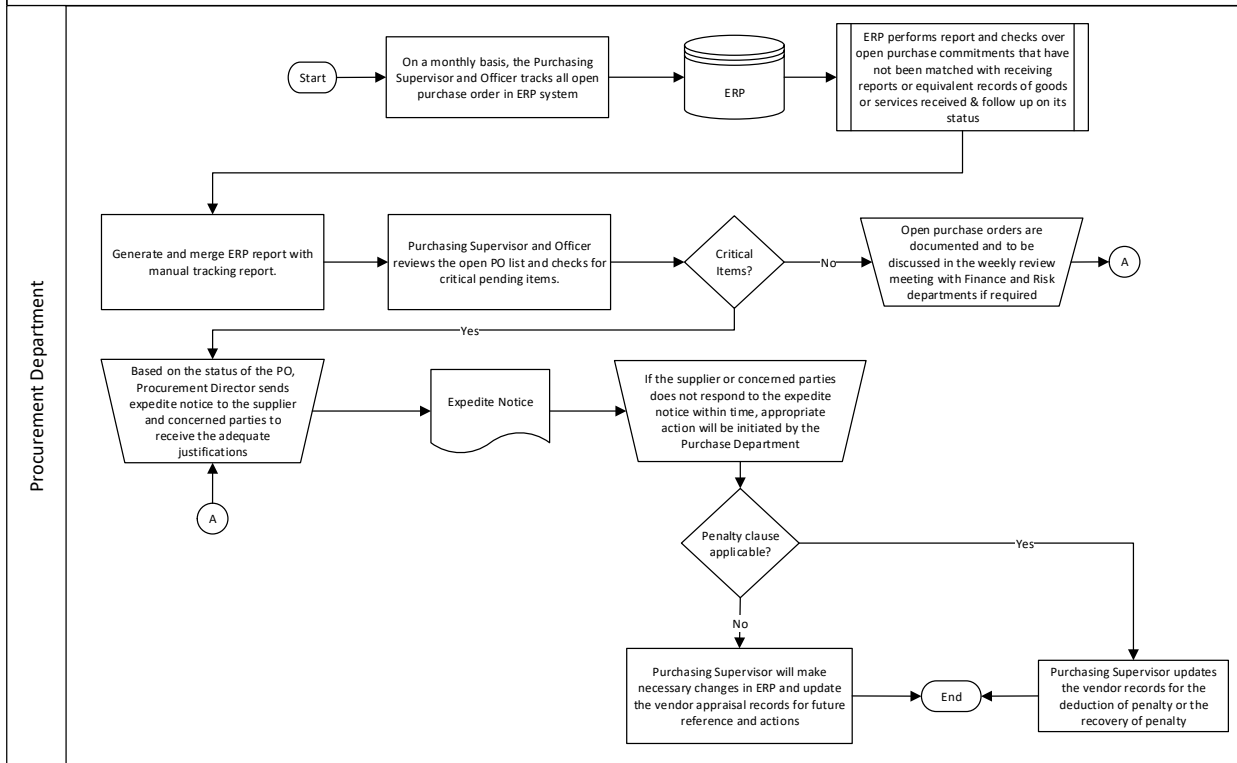
Process Flow Charts– Procurement Manual

Purchase Order (PO) Cancellation



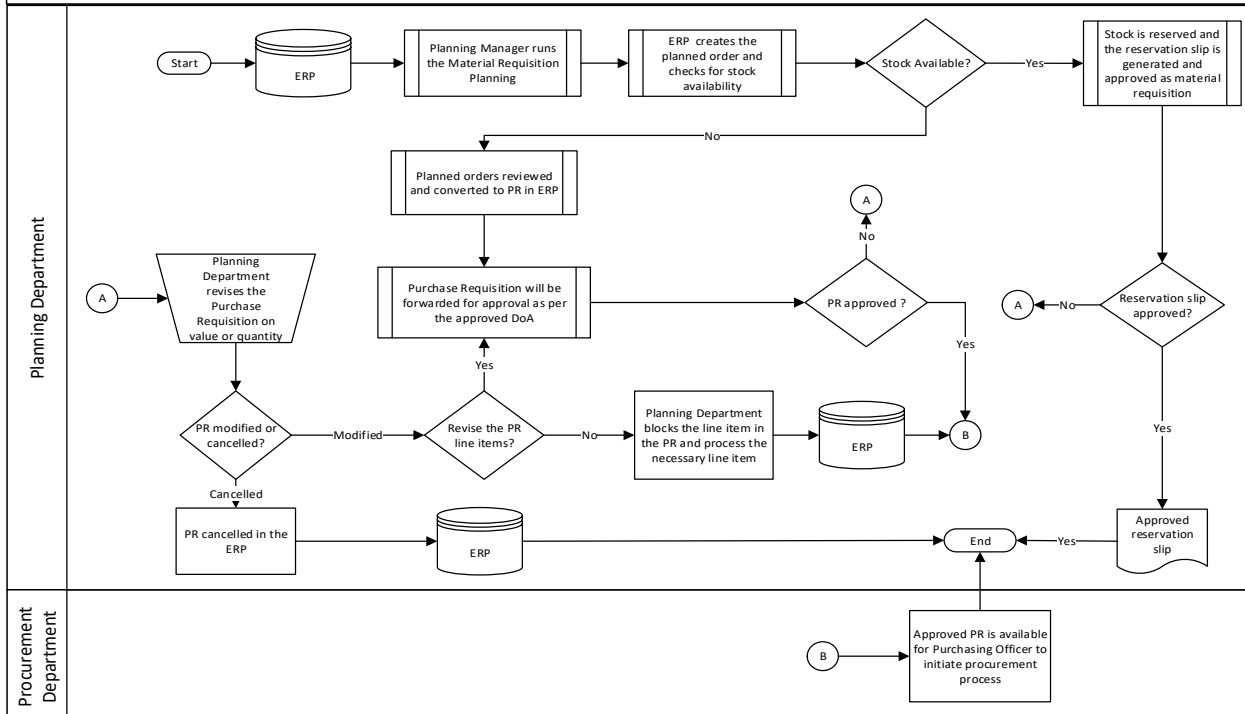
Process Flow Charts– Procurement Manual

Purchase Order Follow Up



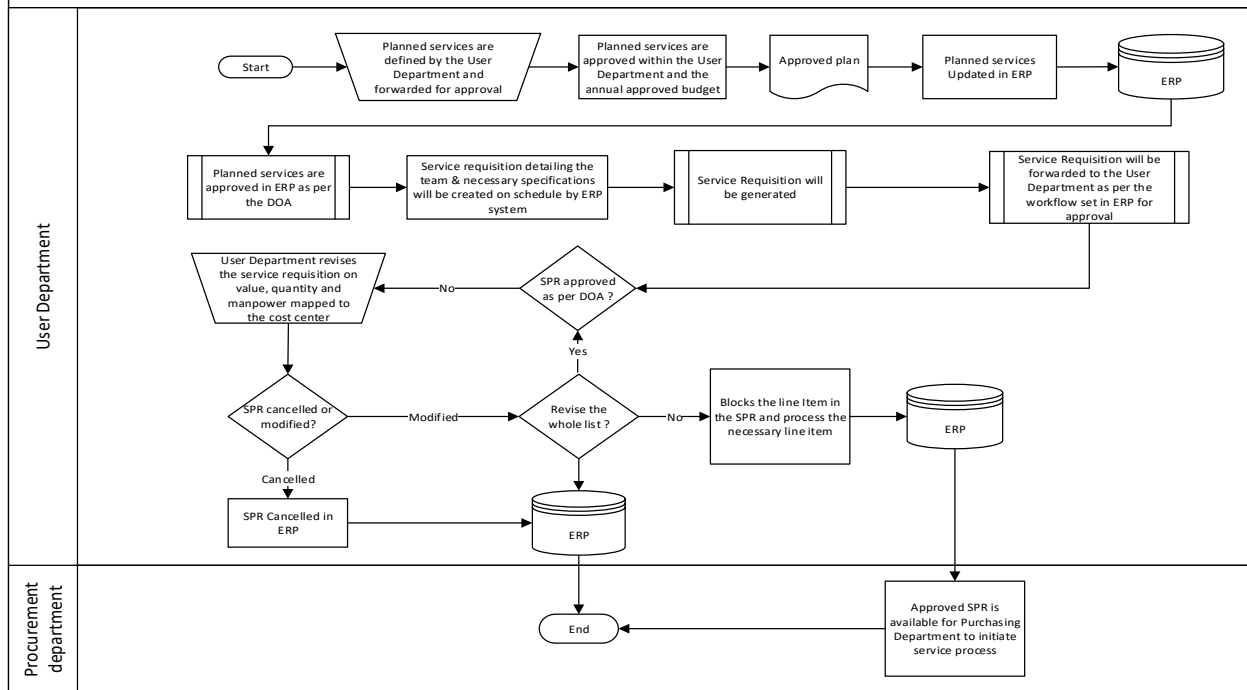
Process Flow Charts– Procurement Manual

Purchase Requisition (PR) through MRP run- Automatic (Stock raw)



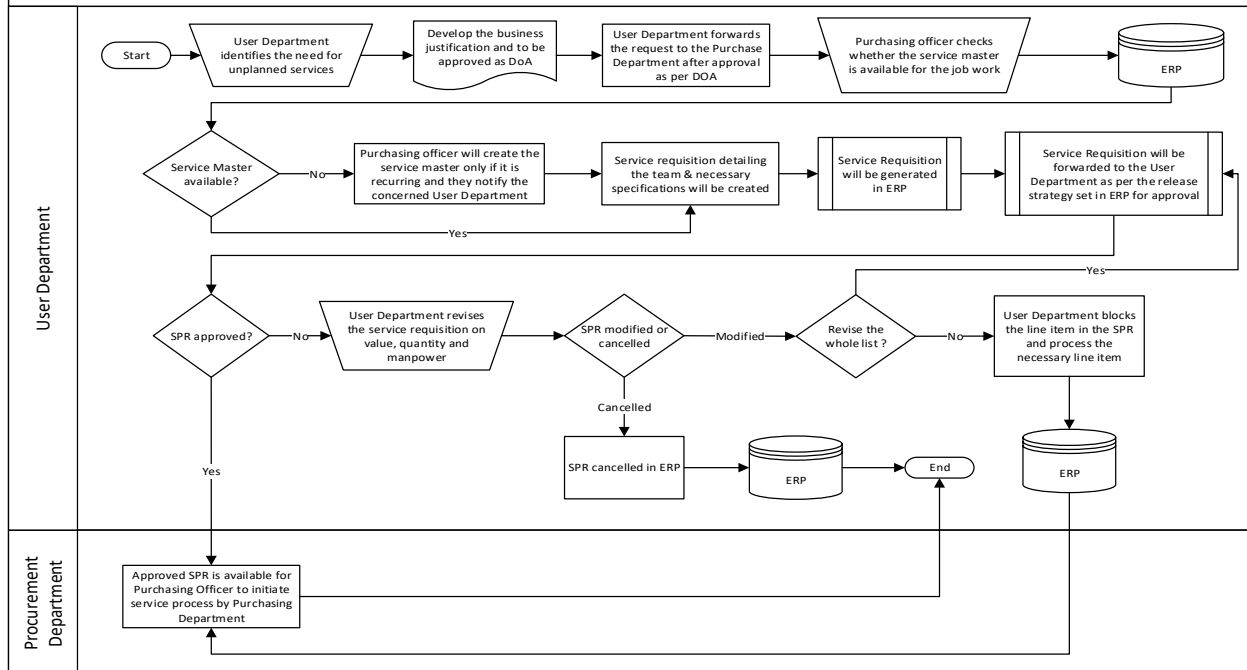
Process Flow Charts – Procurement Manual

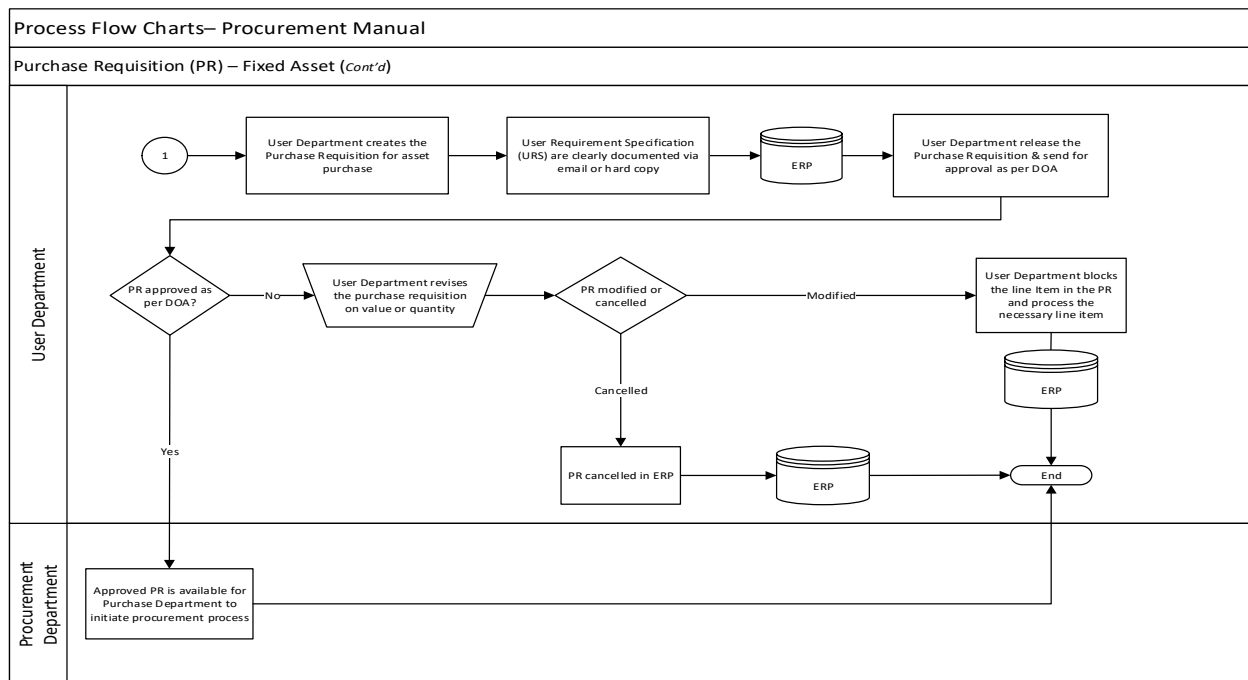
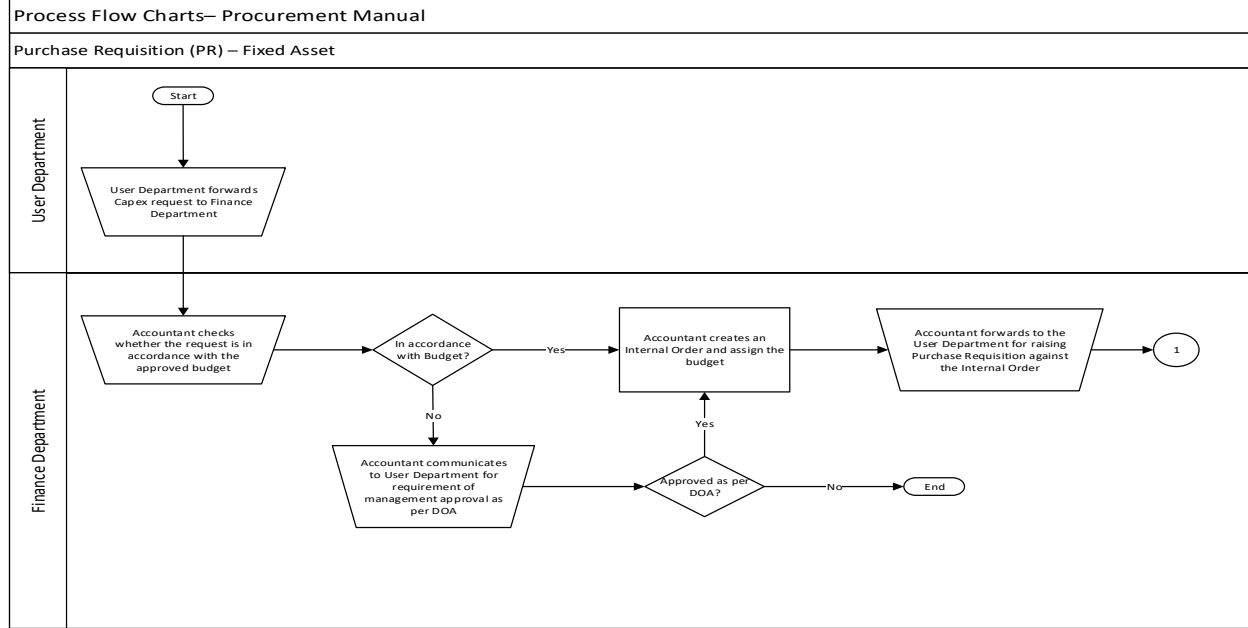
Purchase Requisition- Services (SPR) Planned



Process Flow Charts – Procurement Manual

Purchase Requisition- Services (SPR) - Unplanned





Approvals:

Approver 1

Approver 2
